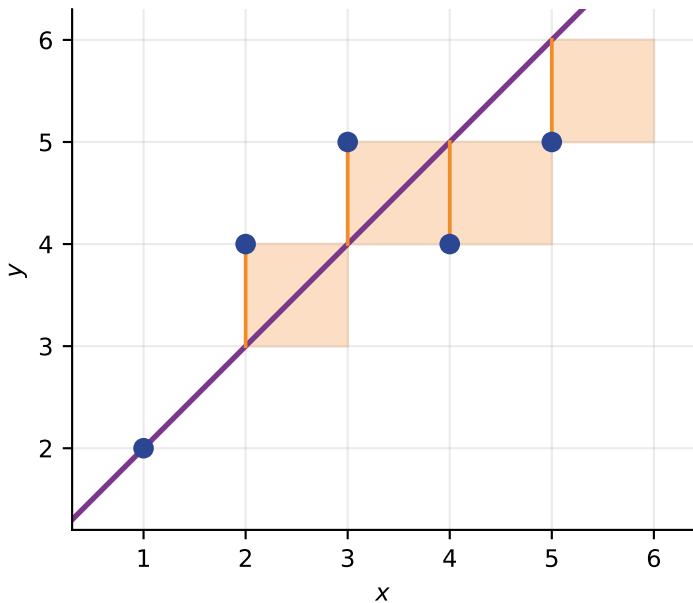


Least squares minimises the total area of these squares

a worse line: $\hat{y} = 1.0 + 1.0x$
SSE = total shaded area = 4.00



the least-squares line: $\hat{y} = 2.2 + 0.6x$
SSE = total shaded area = 2.40

